

3.5.1 Setting financial objectives

Content	Additional information
The value of setting financial objectives	Financial objectives to include: • the concept of a return on investment • an understanding of the proportion of long-term funding that is debt.
The distinction between cash flow and profit	
The distinction between gross profit, operating profit and profit for the year	
Revenue, costs and profit objectives	
Cash flow objectives	
Objectives for investment (capital expenditure) levels	
Capital structure objectives	
External and internal influences on financial objectives and decisions	